We underappreciate cycles

Trends feel like they are permanent, especially as they reach crescendos: Nokia looked unbeatable in 2007, but the seeds of its destruction were planted years prior. We have a hard time looking beyond the here and now, and this prevents us from understanding the life cycles of the economy, markets, and companies.

The future is unknowable

People don't know because *they can't know*. Anyone who pretends they know what is coming next is selling something. Instead of predicting, learn to think about the world in terms of probabilities. It is humbling, and it allows you to think more flexibly. Mistakes always occur, but you want them to be smaller and allow for corrections faster.

Change is constant

Flux is a persistent state of affairs, but we can miss incremental change over time. To repeat Paul Graham's astute observation: "We are experts in the way the world used to be."[98] This means we must constantly check our own knowledge base as it ages and decays over time.

This occurs regularly: Grand pronouncements about why a new service or product will be awesome or will fail miserably; forecasts about what companies are destined for greatness, about what will or won't happen. Our own priors are so hard-wired that it's easy to miss when something—or *everything*—has changed.

Recognizing how little you know is a superpower. If we were less certain of ourselves and had more humility, we would all be better investors.

As wrong as the stories about Cisco, Apple, BlackBerry, and Nokia were,